From surplus to deficit: what the Final Budget Outcomes show about using a surplus

> Australia ran back-to-back surpluses in 2022-23 and 2023-24, then returned to deficit. The Final Budget Outcome for 2025-26, released on 28 September 2026, shows a $22.3 billion deficit that is $6 billion smaller than expected.

−$22.3b
Underlying cash balance 2025-26 (0.8% of GDP)

+$15.8b
Underlying cash balance 2023-24, a surplus (0.6% of GDP)

+$22.1b
Underlying cash balance 2022-23, a surplus

$764.4b
Receipts 2025-26 (26.1% of GDP)

$786.6b
Payments 2025-26 (26.9% of GDP)

$550.0b
Net debt 2025-26 (18.8% of GDP)

1. The 2025-26 outcome

Measure	2025-26 outcome	Budget estimate
Underlying cash balance	−$22.3 billion (0.8% of GDP)	−$28.3 billion (1.0%)
Receipts	$764.4 billion	$759.8 billion
Payments	$786.6 billion	$788.1 billion
Net debt	$550.0 billion	$556.0 billion
Gross debt	$971.4 billion (33.2% of GDP)	$10.6 billion lower than estimated

- **Why better:** receipts were $4.6 billion higher, led by individuals' tax (+$2.3 billion) and super fund tax (+$1.9 billion). Payments were $1.4 billion lower, with less spent on aged care, the PBS and child care support.
- **Still a deficit:** the Treasurer's statement shows other measures are larger than the underlying deficit: the headline cash deficit was $36.1 billion and the fiscal balance deficit $44.1 billion.

2. What was done with the surplus in 2023-24?

- The 2023-24 outcome was a surplus of $15.8 billion (0.6% of GDP) with receipts of $688.6 billion and payments of $672.8 billion. The 2022-23 surplus was $22.1 billion.
- **Debt:** net debt was $491.5 billion (18.4% of GDP), $280.6 billion lower than projected in the 2022 pre-election report. The government said lower debt means lower interest payments.
- **Inflation:** the government said its economic management supported monetary policy in keeping pressure off inflation. A surplus takes demand out of the economy, which is why it is linked to inflation control.
- **Other options for a surplus:** pay down debt, build a reserve for future spending or cut taxes. In practice a surplus mostly reduces the amount the government needs to borrow.

Exam angle: a surplus is a contractionary stance (receipts exceed payments, so net demand falls) and is used to reduce debt and ease inflation pressure. A deficit is expansionary. Compare the two years to show how the budget moves with the cycle and with policy choices. Note the official statement does not say the 2023-24 surplus was spent on anything: use the debt and inflation points.

Syllabus link

HSC 2009 Topic 4 (4C Fiscal policy): 4C.4 the use of a budget surplus. Also supports 4C.1 to 4C.3 on the budget balance, deficit financing and the stance of fiscal policy.

Try this

1. Distinguish between a budget deficit and a budget surplus. (2 marks)
2. Explain TWO ways a government can use a budget surplus. (4 marks)
3. Assess the effects of a budget deficit on the economy. (6 marks)

Sources: Treasurer, Final Budget Outcome 2025-26 (statement and media release), 28 September 2026 — https://archive.budget.gov.au/2025-26/fbo/download/00_fbo_2025-26.pdf and https://ministers.treasury.gov.au/ministers/jim-chalmers-2022/media-releases/final-budget-outcome-2025-26 · Final Budget Outcome 2023-24 — https://archive.budget.gov.au/2023-24/fbo/download/00_fbo_2023-24.pdf